Session 3: Jobs, Trade and Fiscal Policy

Background: The field of economics is divided on whether AI will deliver broad-based labor market gains or generate record job-losses and concentrate economic power among capital owners. This debate unfolds against the backdrop of a long-term decline in labor's share of income. Globally, AI could reshape comparative advantage and patterns of international trade, with potentially dramatic effects on growth and job prospects for countries. Fiscal policy may need to respond quickly to these transformations both through altering revenue (possibly greater reliance on capital income tax) and expenditure policies (wider and deeper social safety nets).

Lead Speakers:

Pol Antràs, Robert G. Ory Professor of Economics, Harvard University

Jason Furman, Aetna Professor of the Practice of Economic Policy, Harvard University; former Chairman of the Council of Economic Advisers

Anton Korinek, Anthropic Institute; Professor of Economics, University of Virginia (on leave)

Focus: The conversation will center around the following questions[1]:
(1) What are the greatest risks/benefits AI poses to labor markets, and how can governments facilitate the transition?
(2) How is AI reshaping international trade patterns? What should economies expect in the medium term?
(3) What role should fiscal policy play in capturing and distributing the benefits of AI?

- Should governments intervene at the outset (competition policy, worker protection, education and training) or redistribute earnings afterwards (taxation, enhancements to the social safety net)?

Outcomes: (1) An assessment of how AI could alter the job landscape, comparative advantage, and the geography of production. (2) A framework for evaluating the appropriate mix and sequencing of policies to address AI-related distributional effects, including the trade-offs between ex ante interventions and ex post redistribution measures.

[1] The questions are illustrative and intended to help speakers and participants frame the discussion; they are not exhaustive.